ZONE TO ZONE TRADING STRATEGY

✅ What Is the Zone-to-Zone Strategy?

Zone-to-Zone trading is a price-action strategy where you identify two key areas:

1. Demand Zones

Where buyers previously entered strongly and pushed price up.

2. Supply Zones

Where sellers previously entered strongly and pushed price down.

The idea is simple:

> **Price naturally moves from one supply/demand zone to the next.**
> **You enter at one zone and target the next zone.**

⭐ What Is Zone-to-Zone Trading?

Zone-to-Zone Trading is a method where you identify strong **Supply** (sell) zones and **Demand** (buy) zones on the chart and trade the price **as it moves from one zone to the next**.

Instead of trading random candles or indicators, you wait for price to:

1. **Enter a zone**
2. **React (reject / break)**
3. **Move toward the next target zone**

This creates a logical path for price.

✅ How to Trade the Zone-to-Zone Strategy (Simple Guide)

The **Zone-to-Zone strategy** is used by smart-money and institutional traders.
The idea is to trade **from one liquidity zone to the next**, using supply and demand.

✅ HOW TO TRADE THE STRATEGY (STEP-BY-STEP)

STEP 1 — Identify Strong Supply and Demand Zones

Look for areas where price made a **strong, explosive move** away.

This means:

Demand Zone (Buy zone)

- Sharp move **up**
- Often long bullish candles
- Sometimes a "V-shape" reversal

Supply Zone (Sell zone)

- Sharp move **down**
- Strong bearish candles
- Clear rejection wick or engulfing pattern

Mark the last consolidation or last opposite candle before the big move.

STEP 2 — Wait for Price to Return to the Zone

Do not chase.

When price comes back to the zone later, that's where you prepare.

Why?

Because institutions often **retest their entry zones**.

STEP 3 — Look for Confirmation (optional but safer)

When price enters your zone, look for any of these confirmations:

For buys (demand zone)

- Bullish engulfing
- Pin bar / rejection wick
- Market Structure Break (MSB/BOS)
- Higher low forming inside the zone

For sells (supply zone)

- Bearish engulfing
- Rejection wicks
- Lower high forming
- Structure break to the downside

STEP 4 — Enter the Trade

Set your entry:

Buy at demand zone

- Enter when confirmation happens OR
- Buy at the zone boundary (aggressive entry)

Sell at supply zone

- Same logic but opposite.

STEP 5 — Place Stop Loss

Your stop loss should always go:

For buys:

✔ **Below the demand zone**
✔ Or below the candle that created the zone

For sells:

✔ **Above the supply zone**

Never place your stop inside the zone — you will get stopped out.

📌 Example of Zone-to-Zone Trade

Imagine price hits a **demand zone**, reacts, and you buy.

Your **take-profit** is the NEXT **supply zone** above.

Your **stop-loss** is below the demand zone.

This creates a natural **high-risk/reward** setup like 1:3 or 1:5.

🔥 Tips for Better Accuracy

✔ Higher timeframe zones are stronger

(D1 > H4 > H1 > M15...)

✔ The fresher the zone, the better

Zones that haven't been touched before are more reliable.

✔ Only trade directionally

Buy from demand
Sell from supply

✔ Avoid trading inside the middle (no-man's land)

Wait for price to reach a zone.

🧠 Key Tips

- ✔ Use HTF (higher timeframe) for direction
- ✔ Use LTF (lower timeframe) for entries
- ✔ Only trade zones with strong departure
- ✔ Don't trade weak or messy zones
- ✔ Always aim for the next zone — this keeps strategy objective
- ✔ Avoid trading inside the middle (between zones)

🟥 What Is a Supply Zone?

A **Supply Zone** is an area where big sellers entered the market before.
When price returns to this zone, it often drops again because sellers defend the area.

Characteristics:

- Strong drop after consolidation
- Long bearish candles
- Break of structure after leaving the zone

🟩 What Is a Demand Zone?

A **Demand Zone** is an area where strong buyers entered the market.
When price returns, buyers often push price up again.

Characteristics:

- Strong rally after consolidation
- Long bullish candles
- Break of structure upward

🎯 What Is the Midline Take Profit?

The **midline** is the **50% level of the distance between the two zones**.

WHY USE A MIDLINE TP?

Because:

- It gives a **safer, higher-probability target**.
- Price often stalls or pulls back halfway before reaching the next zone.
- It allows partial profits or full TP before price reverses.

📌 Example of a Zone-to-Zone Sell

1. Price reaches a strong **Supply Zone**
2. Shows rejection / BOS
3. Sell entry
4. Stop-loss above the zone
5. Target the next **Demand Zone**

📌 Example of a Zone-to-Zone Buy

1. Price reaches **Demand Zone**
2. Shows confirmation
3. Buy entry
4. SL below demand
5. TP at next **Supply Zone**

💡 Why Zone-to-Zone Trading Works

- Institutions place large orders around zones
- Price always moves between imbalance → zone → imbalance
- Clear rules reduce emotional trading
- You stop trading in the "middle of nowhere"

⚠️ Common Mistakes

❌ Taking trades between zones
❌ Marking too many zones
❌ Ignoring liquidity (false breaks trick retail traders)
❌ Not waiting for confirmation inside zones